

Amendment No. 7 to HB1376

Hicks G
Signature of Sponsor

AMEND Senate Bill No. 1413*

House Bill No. 1376

by deleting § 57-7-108(a) in Section 2 and substituting:

(a)

(1) Except as provided in subdivision (a)(2), there is imposed a tax upon the sale of HDCPs at wholesale in the amount of two cents (2¢) per milligram of hemp-derived cannabinoid in each HDCP sold at wholesale in this state based upon the most recent HDCP lab test results provided to the wholesaler by the supplier pursuant to § 57-7-107(a)(2).

(2) There is imposed a tax upon the sale of HDCPs at wholesale in the form of hemp plant parts or hemp flower in the amount of fifty dollars (\$50.00) per one (1) ounce of weight.

AND FURTHER AMEND by deleting § 57-7-108(d) in Section 2 and substituting:

(d) All moneys collected under this section must be turned over to the state treasurer for deposit. Eighty percent (80%) must be deposited into the state general fund. Ten percent (10%) must be deposited into a special account in the state general fund to be appropriated for use by the commission in the administration and enforcement of this chapter. Ten percent (10%) must be deposited into a special account in the state general fund to be appropriated for use by the department of revenue in the administration and enforcement of this chapter. Unused funds remaining in the special accounts for use by the commission and department at the end of the fiscal year must revert to the state general fund.

AND FURTHER AMEND by deleting SECTION 3 and substituting:

SECTION 3. Tennessee Code Annotated, Section 67-6-232, is amended by deleting the section in its entirety.

AND FURTHER AMEND by deleting § 57-7-105(b)(1) in Section 2 and substituting:

(1) Shall ensure wholesalers and retailers are in compliance with § 57-7-108 and other provisions of this chapter, as applicable;

AND FURTHER AMEND by deleting § 57-7-110 in Section 2 and substituting:

57-7-110. Safety requirements for hemp-derived cannabinoid products — Proper storage by consumer — Prohibited advertising.

(a)

(1) Except as provided in subdivisions (a)(2)–(4), an HDCP that is sold at retail must:

(A) Satisfy the child-resistant effectiveness standards under 16 CFR 1700.15(b)(1) when tested in accordance with the requirements of 16 CFR 1700.20;

(B) Be packaged in a single package or container that contains no more than the milligram equivalent of twenty (20) servings, or three hundred (300) milligrams of hemp-derived cannabinoids, in the aggregate, in a manner to be determined by the commission by rule; and

(C) Be labeled with:

(i) A list of ingredients and possible allergens and a nutritional fact panel;

(ii) A conspicuous warning statement having a minimum font size of eleven-point font concerning the risk of impairment from consumption of the product, keeping the product out of the reach of children, and other warning information as required by rule of the commission;

(iii) If the product is ingestible or inhalable in cartridge form, the amount of hemp-derived cannabinoid in each serving of the product, measured in milligrams;

(iv) The total amount of hemp-derived cannabinoid in the entire package, measured in milligrams;

(v) The net weight of the product;

(vi) A quick response (QR) code that can be scanned to access a website providing the product's batch number, date received, date of testing completion, and method of analysis for the testing report required under § 57-7-107, including information regarding results of the product's full-panel and potency tests conducted pursuant to § 57-7-107(a);

(vii) An expiration date; and

(viii) For hemp plant parts or hemp flower, the percentages and identity of each hemp-derived cannabinoid present in the HDCP.

(2) For HDCP beverage products, if the HDCP:

(A) Is a beverage product other than such product described in subdivision (a)(2)(B), the container must utilize a traditional pull-tab, an aluminum can device currently approved for soft drinks and malt beverages, or a screw-top or cork-style cap used for containers of wine and other alcoholic beverage products; or

(B) Is in a container with a volume equal to or less than seven hundred fifty milliliters (750 ml) and contains more than one (1) serving, the container must be resealable in a manner to support multi-day use.

(3) For HDCPs in cartridge form, the HDCP must be packaged in a single cartridge that contains not more than forty (40) servings, not to exceed five hundred (500) milligrams per cartridge.

(4) For hemp plant parts and hemp flower, the HDCP must be packaged in a single package or container that contains not more than one-half (0.5) of an ounce by weight of HDCP, regardless of the milligram content of hemp-derived cannabinoids in such hemp plant parts or hemp flower.

(b) A person who obtains an HDCP that is sold at retail shall store any unconsumed portion of the product in its original packaging. It is a Class C misdemeanor offense for a person to violate this subsection (b).

(c) A retailer or supplier of an HDCP shall not advertise, market, or offer for sale an HDCP by using, depicting, or signifying, in the labeling or design of the product or product packaging, or in advertising or marketing materials for the product, trade dress, trademarks, branding, or other related product imagery or scenery, characters, or symbols known to appeal primarily to persons under twenty-one (21) years of age, including, but not limited to, superheroes, comic book characters, video game characters, television show characters, movie characters, or unicorns or other mythical creatures.

(d) An HDCP mixed or infused with, or otherwise used as an ingredient in, beer or alcoholic beverages, must not be manufactured, sold, provided, or served to a consumer in this state and is otherwise strictly prohibited.

(e) An HDCP must not be labeled or otherwise marketed to make any health-related claims, including, but not limited to, claims pertaining to diagnoses, cures, or mitigation or treatment of any human disease or other condition.

(f) Except as provided in subdivisions (a)(2)–(4), an ingestible HDCP containing a hemp-derived cannabinoid must not:

(1) Be sold in a serving that contains more than fifteen (15) milligrams, in the aggregate, of one (1) or more hemp-derived cannabinoids;

(2) If the HDCP is a hemp-derived cannabinoid beverage product, be sold:

(A) Except as provided in this subdivision (f)(2), in a container that contains more than two (2) servings;

(B) In a container with a volume greater than seven hundred fifty milliliters (750 ml), unless the container is a standard fifteen- and one-half gallon (15.5 gal.) keg container or a seven- and three-fourths gallon (7.75 gal.) keg container of HDCP beverage product for wholesale sale to a retail licensee only for retail sale in single servings by the glass; or

(C) In a concentration greater than fifteen (15) milligrams of one (1) or more hemp-derived cannabinoids per serving, with the maximum amount of milligrams of hemp-derived cannabinoids per container calculated by multiplying the standard number of servings per type of container by fifteen (15) milligrams; or

(3) Be formed into the shape of an animal or cartoon character.

(g) The commission may promulgate rules for the packaging, labeling, and display of HDCPs that are offered for sale in this state.